

Question 1

Correct Mark 4.00 out of 4.00  Flag question

Suppose Bill buys a house worth \$300,000 and his deposit (equity) is \$40,000. Now suppose the house rises in value to \$330,000 next year. The percentage return on Bill's equity is  %.

The Global Financial Crisis started in 

The main reason Investment in affected countries *initially* fell was because



Investment did not immediately recover due to interest rates cuts because



Question 2

Correct Mark 10.00 out of 10.00  Flag question

Consider two neighbouring island countries called Auva'a and Tatola. They each have 4 thousand labour hours available per week that they can use to produce jeans, corn, or a combination of both. The following table shows the amount of jeans or corn that can be produced using 1 hour of labour.

Country	Jeans (pairs per hour of labour)	Corn (bushels per hour of labour)
Auva'a	16	32
Tatola	12	48

Initially, imagine that Auva'a uses 1 thousand hours of labour per week to produce jeans and 3 thousand hours per week to produce corn, while Tatola uses 3 thousand hours of labour per week to produce jeans and 1 thousand hours per week to produce corn. Consequently, Auva'a produces 16 thousand pairs of jeans and 96 thousand bushels of corn per week, while Tatola produces 36 thousand pairs of jeans and 48 thousand bushels of corn per week. Assume there are no other countries willing to trade goods, so, in the absence of trade between these two countries, each country consumes the amount of jeans and corn it produces.

Auva'a's opportunity cost of producing 1 pair of jeans is  and
Tatola's opportunity cost of producing 1 pair of jeans is  .
Therefore  has a comparative advantage in the production of jeans, and
  has a comparative advantage in the production of corn.

Imagine that each country completely specialises in the production of the good in which it has a comparative advantage, producing **only** that good. In this case, the country that produces jeans will produce  thousand pairs per week, and the country that produces corn will produce  thousand bushels per week.

In the following table, enter each country's production decision on the third row of the table (marked "Production").

Imagine the country that produces jeans trades 38 thousand pairs of jeans to the other country in exchange for 114 thousand bushels of corn.

In the following table, select the amount of each good that the country exports and imports in the boxes across the row marked "Trade Action" and enter each country's final consumption of each good on the line marked "Consumption".

When the two countries did not specialise, the total production of jeans was 52 thousand pairs per week, and the total production of corn was 144 thousand bushels per week. Because of specialisation, the total production of jeans has increased by  thousand pairs per week, and the total production of corn has increased by  thousand bushels per week.

Because the two countries produce more jeans and more corn under specialisation, each country is able to gain from specialisation.

Calculate the gains from trade - that is, the amount by which each country has increased its consumption of each good relative to the first row of the table. In the following table, enter this difference in the boxes across the last row (marked "Increase in Consumption").

	Auva'a	Auva'a	Tatola	Tatola
	Jeans (thousands of pairs)	Corn (thousands of bushels)	Jeans (thousands of pairs)	Corn (thousands of bushels)
<u>Without Trade</u>				
Production	16	96	36	48
Consumption	16	96	36	48
<u>With Trade</u>				
Production	64 ✓	0 ✓	0 ✓	192 ✓
Trade action	exports 38 ✓	imports 114 ✓	imports 38 ✓	exports 114 ✓
Consumption	26 ✓	114 ✓	38 ✓	78 ✓
<u>Gains from Trade</u>				
Increase in Consumption	10 ✓	18 ✓	2 ✓	30 ✓

Question 3

Partially correct Mark 4.00 out of 5.00  Flag question

Suppose country A is relatively abundant in capitals, country B is relatively abundant in labours.

There are two goods: X and Y.

When the countries open up for trade, country A exports X to country B, and country B exports Y to country A.

It means   is more capital intensive and   is more labour intensive.

Suppose the sizes of the economies do not grow after trade, evaluate the following statements.

- In country A, the employers are better off.  
- In country A, the labours are better off.  
- In country B, the employers are better off.  
- In country B, the labours are better off.  

Suppose instead the sizes of the economies grow after trade, evaluate the following statements.

- In country A, the employers are better off.  
- In country A, the labours are better off.  
- In country B, the employers are better off.  
- In country B, the labours are better off.  

See section 18.6 for details.